STHIROS
Strategy. Risk. Cyber. AI.



Taking Supplier Paid On Time from 65.87% to 78.79%, without new technology

A major automotive company engaged Sthiros to improve its Supplier Paid On Time performance through process discipline alone, no new systems required.

Client	Product Deployed	Sector	Geography
A Major Automotive Company	**Process Improvement & Six Sigma Consulting, Supplier Payment Optimisation**	**Automotive Manufacturing**	**Global**

The Challenge:

When payment unpredictability becomes a supply chain risk

This automotive company's SPOT performance sat at 65.87%, far below the 80% industry target, creating cascading operational and financial problems across budgeting, supplier relationships, and cash flow.

Improper Budget Forecasting

Unpredictable payment cycles made accurate budget forecasting difficult across the accounts payable function.

Loss of Early Payment Discounts

Late, inconsistent payment cycles meant the company routinely missed early payment discounts offered by suppliers.

Late Fees & Penalties

Payment delays incurred late fees and penalties, adding direct cost to a process meant to control it.

Unsatisfied Suppliers & Strained Relationships

Service disruptions from unsatisfied suppliers affected day-to-day production schedules, straining relationships across the supply chain.

The Solution:

Three pillars of process discipline, no new technology required

Sthiros implemented a three-pillar solution focused on process discipline, workflow optimisation, and stakeholder accountability, proving that process excellence alone could close the SPOT gap.

A Process Governance Portal monitored compliance and tracked deviations throughout, sustaining the improvement well past the initial engagement.

The Methodology

1 Supplier Invoice Management Protocol

Suppliers required to submit invoices within 3 working days of the invoice date, eliminating delays at the source before processing even began.

2 Approval Workflow Optimisation

A disciplined K2 workflow validated invoices against PO or SAN before scanning, auto-rejected anything stuck beyond 5 working days, and made Cost Center owners accountable for timely approval.

3 Payment Run Regularisation

Payment run schedules standardised with strict adherence policies, eliminating ad-hoc postponements and creating a reliable payment cadence for suppliers.

What This Means

Pay on time, keep the discount.

Five days, then it bounces back.

Predictable runs build trust.

Outcomes

78.79%

Final SPOT achieved

Up from a 65.87% baseline, closing in on the 80% industry target.

13 pts

Percentage-point improvement

Delivered within a fixed 6-month engagement window.

Sigma 2.30

Process maturity achieved

Advancement in Six Sigma level without major technology investment.

6 Months

Engagement duration

FY 2010-2011, delivered through process discipline alone.

Get in touch

Is your supplier payment cycle predictable, or just hopeful?

Speak to Sthiros about what focused process discipline can unlock for your procure-to-pay operations.

Connect with us:
sthiros.com

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